suspected to be counterfeit, the bank is mandated to file a First Information Report (FIR) with the police. This drags both the customer and the bank into extensive paperwork, and in the case of the customer, confirming that she was unaware of the counterfeit nature of the note in her possession forms the first layer of investigation. This prima facie suspicion and the associated paperwork deter reporting of counterfeit currency.

We tried our best to rectify this perverse incentive structure but met with only limited success. Simplifying the process required amendments to the criminal procedure code (CrPC). We proposed to the home ministry amendments to the CrPC that will absolve the customer of prima facie responsibility, as that will remove the fear and apprehension underlying the current provisions of the law. The ministry, however, was unwilling to relax the process for fear that it would compromise internal security. We did win some concessions though in the matter of rationalizing the procedure for reporting of counterfeit currency. First, in every district of the country, one police station was to be designated as a nodal station for counterfeit currency cases so that the training and specialization could be focused; second, the immediate filing of an FIR was required only if the number of counterfeit notes detected in a single transaction exceeded four, or else, banks could pool cases and file a combined FIR once in a month. This rationalization has improved reporting and provided some relief to common people who unknowingly come into possession of counterfeit notes.

Clean Note Policy

The Reserve Bank is committed to a ‘clean note’ policy. It exchanges soiled and mutilated notes for clean ones. In pursuit of our clean note policy and also to check counterfeiting, in 2011, we prescribed that all bank branches with cash receipts of over ₹5 million per day be equipped with a note-sorting machine so that every high-denomination currency note is checked for fitness and genuineness before it is put back in circulation. Subsequently, the requirement of machine-processing of cash has been extended to all bank branches, irrespective of the value of receipts.